

Rating Rationale

17 Sep 2025

Sambandam Spinning Mills Ltd

Brickwork Ratings reaffirms the long-term rating and the short-term rating for the Bank Loan Facilities of Rs. 101.97 Crs. and Fixed Deposits of Rs. 10.00 Crs of Sambandam Spinning Mills Ltd, based on best available information, as the issuer did not cooperate

Particulars

Instrument*	Previous Limits (Rs. Crs.)	Present Limits (Rs. Crs.)	Type	Previous Rating (18 Sept 2024)	Present Rating
Fund Based	90.75	90.75	Long Term	BWR BB-/Stable continues to be in ISSUER NOT COOPERATING*/Downgrade	BWR BB-/Stable continues to be in ISSUER NOT COOPERATING*/Reaffirmed
Fund Based	1.62	1.62	Short Term	BWR A4/continues to be in ISSUER NOT COOPERATING*/Reaffirmed	BWR A4/continues to be in ISSUER NOT COOPERATING*/Reaffirmed
Non Fund Based	9.60	9.60	Short Term		
Fixed Deposit	10.00	10.00	Long Term	BWR BB-/ Stable continues to be in ISSUER NOT COOPERATING*/Downgrade	BWR BB-/ Stable continues to be in ISSUER NOT COOPERATING*/Reaffirmed
Total	111.97	111.97	Rupees Hundred and Eleven Crores & Ninety Seven Lakhs Only		

#Please refer to BWR website www.brickworkratings.com/ for definition of the ratings

*Issuer did not cooperate; based on best available information

**Instrument details are furnished in Annexure -I & II

Rating Action/Outlook

Brickwork Ratings reaffirms the long-term rating and the short-term rating for the Bank Loan Facilities of Rs. 101.97 Crs. and Fixed Deposits of Rs. 10.00 Crs of Sambandam Spinning Mills Ltd, based on best available information, as the issuer did not cooperate

Brickwork Ratings (BWR) has consistently taken up with the company through emails and telephone calls to provide the requisite information for the review of the ratings. Despite the best efforts of BWR to get at least the minimum required information for a review, the company continues to be noncooperative. Due to the continued lack of management cooperation and the absence of adequate information from the company, BWR is unable to assess the company's financial performance and its ability to service its debt and maintain a valid rating. Hence, based on the best available information, continued lack of management cooperation, and in terms of extant regulatory requirements, BWR has reaffirmed the rating and continued under the ISSUER NOT COOPERATING* category.

*Issuer did not cooperate; based on best available information.

The lenders/investors may note to exercise due caution while using the above rating which mentions "Issuer Not Cooperating" since the rating lacks any projections or forward-looking component as it is arrived at based on the best available information without any management/banker's interaction

LIMITATIONS OF THE RATING:

Information availability risk is a key factor in the assessment of credit risk as generally, non-cooperation by the rated entities to provide required information for a review of the assigned rating may also be accompanied by financial stress. Users of the credit rating should therefore take into account possible deterioration in the credit quality of the rated entity arising from its non-transparency withholding of information required for a review of the rating

About the Company

Macro Economic Indicator	Sector	Industry	Basic Industry
Consumer Discretionary	Textiles	Textiles & Apparels	Garments & Apparels

Sambandam Spinning Mills Limited (SSMPL or 'the company') was incorporated in 1973 and is a BSE listed company since 1995. The Company is in the business of manufacturing cum trading of textile yarn with various varieties of inputs such as cotton, viscose, polyester and milange. The company has four Yarn manufacturing units at Salem –Tamil Nadu with an operating capacity of 1,43,052 Spindles. The company has installed sixteen Wind Turbine Generators for a total capacity of 12.575 MW in Tirunelveli and Coimbatore districts of Tamil Nadu. The electricity generated by the wind mills is mostly used for captive generation. The Company is managed by three whole-time promoter directors, Sri.S.Devarajan, Chairman and Managing Director, Sri.S.Jegarajan, Joint Managing Director and Sri.S.Dinakaran, Joint Managing Director.

Note: As per the Information available with BWR as of 11-Aug-2021.

KEY FINANCIAL INDICATORS

Please refer to the following link for the previous detailed rationale that captures the Key financial drivers and their Description, Liquidity Position. Rating Sensitivities, Key Financial Indicators. [View Previous Document](#)

STATUS OF NON-COOPERATION WITH PREVIOUS CRA-

Credit Rating Agency	Status and Reason for Non-Cooperation	Press Release Date
CRISIL	Non-availability of requisite information	Nov 29, 2024
India Ratings & Research	Non-availability of requisite information	Dec 13, 2024

Any other information - None

RATING HISTORY FOR THE PREVIOUS THREE YEARS (including withdrawal and suspension)

Instrument / Facility	Current Rating (Year 2025)			Rating History		
	Type	Amount (Rs in Cr)	September 2025	18 September 2024	23 September 2023	12 September 2022
Fund Based	Long Term	90.75	BWR BB-/Stable continues to be in ISSUER NOT COOPERATING*/Reaffirmed	BWR BB-/Stable continues to be in ISSUER NOT COOPERATING*/Downgrade	BWR BB/Stable continues to be in ISSUER NOT COOPERATING*/Downgrade	BWR BB+/Stable continues to be in ISSUER NOT COOPERATING*/Downgrade
Fund Based	Short Term	1.62	BWR A4/continues to be in ISSUER NOT COOPERATING*/Reaffirmed	BWR A4/continues to be in ISSUER NOT COOPERATING*/Reaffirmed	BWR A4/continues to be in ISSUER NOT COOPERATING*/Reaffirmed	BWR A4/continues to be in ISSUER NOT COOPERATING*/Reaffirmed
Non Fund Based	Short Term	9.60	BWR A4/continues to be in ISSUER NOT COOPERATING*/Reaffirmed	BWR A4/continues to be in ISSUER NOT COOPERATING*/Reaffirmed	BWR A4/continues to be in ISSUER NOT COOPERATING*/Reaffirmed	BWR A4/continues to be in ISSUER NOT COOPERATING*/Reaffirmed
Fixed Deposit	Long Term	10.00	BWR BB-/ Stable continues to be in ISSUER NOT COOPERATING*/Reaffirmed	BWR BB-/ Stable continues to be in ISSUER NOT COOPERATING*/Downgrade	BWR BB/ Stable continues to be in ISSUER NOT COOPERATING*/Downgrade	BWR BB+/ Stable continues to be in ISSUER NOT COOPERATING*/Downgrade
	Total	111.97	Rupees Hundred and Eleven Crores and Ninety Seven Lakhs Only			

*Issuer did not cooperate; based on best available information

Hyperlink/Reference to applicable Criteria

- [Approach to Financial Ratios](#)
- [General Criteria](#)
- [Short Term Debt](#)
- [Manufacturing Companies](#)
- [Policy On Issuer Non -Cooperation](#)

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Sambandam Spinning Mills Ltd

ANNEXURE - I

Details of Bank Loan Facilities rated by BWR:

Sl. No.	Name of the Bank	Type of Facilities	Long Term (Rs Cr.)	Short Term (Rs Cr.)	Total (Rs Cr.)	Complexity of the Instrument
1	State Bank of India	CC	29.60	-	29.60	Simple
2		Stand by line of credit (sublimit of CC)	(3.0)		(3.0)	Simple
3		EPC/FPC (Sublimit of CC)	-	(1.50)	(1.50)	Simple
4		FBD/EBR (Non LC)(Sublimit of CC)	-	(1.00)	(1.00)	Simple
5		BG (Sublimit)	-	(1.50)	(1.50)	Simple
6		Short Term COVID Loan	-	1.12	1.12	Simple
7		Term Loan	2.75	-	2.75	Simple
8		Term Loan - GECL	6.68	-	6.68	Simple
9		LC	-	4.95	4.95	Simple
10		CEL	-	0.27	0.27	Simple
11	Canara Bank	Cash Credit	10.15	-	10.15	Simple
12		Short Term COVID Loan	-	0.50	0.50	Simple
13		Term loan- GECL	1.93	-	1.93	Simple
14	Karnataka Bank	OD	8.25	-	8.25	Simple
15		Term Loan	1.14	-	1.14	Simple
16		Term loan- GECL	1.87	-	1.87	Simple
17		LC	-	4.30	4.30	Simple
18		BG	-	(2.00)	(2.00)	Simple
19		CEL		0.08	0.08	Simple
20	South Indian Bank	CC	5.25	-	5.25	Simple
21		Term loan- GECL	0.72		0.72	Simple
22	Catholic Syrian Bank	Term Loan	13.86	-	13.86	Simple
23		Term Loan-Fresh	8.55	-	8.55	Simple
Rupees One Hundred and One Crores and Ninety Seven Lakhs Only					101.97	

ANNEXURE - II

Details of FDs rated by BWR:

S.No.	Instrument	Amount (Rs. Crs.)	Tenure	Rate of Interest	Complexity of the Instrument
1.	Fixed Deposits	10.00	36 months	10%-11%	Simple
Total - Rupees Ten Crores only					

ANNEXURE III

List of Entities Consolidated- NA

##BWR complexity levels are meant for educating investors. The BWR complexity levels are available at www.brickworkratings.com / download / [ComplexityLevels.pdf](#). Investors queries can be sent to info@brickworkratings.com

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